

Press Release

Summary IFRS results FY 2022



March 9, 2023. Moscow. Sberbank (hereafter "the Group" or "Sber") released summary annual consolidated IFRS financial statements (hereafter "the Financial Statements") as at and for the 12 months ended 31 December 2022. Summary financial statements are based on audited annual consolidated IFRS financial statements

Sber net profit for FY 2022 reached RUB270.5 bn in accordance with International Financial Reporting Standards (IFRS)

Herman Gref, Chairman of the Executive Board, CEO, stated:

"2022 has been an extremely difficult year for the Russian economy and the Russian banking sector. A number of countries imposed blocking sanctions against Russian entities and largest companies, including Sber.

We kept our major focus on providing widespread support to the population and corporations. During the year we issued almost RUB20 trn in loans under state and own programs, carried out restructurings, upgraded payment solutions and offered anti-crisis financing in short time.

Our business was able to adapt quickly to the rapidly changing conditions thanks to our successful digitalization, that has become embedded in our culture. Our vital task was to ensure uninterrupted operations of all systems in the face of unprecedented number of cyberattacks and terminated contracts with foreign vendors. We created in-house technological solutions based on our IT-platform instruments and now made them available to the market. We achieved the goal of migrating to our IT platform ahead of schedule: 80% of the critical IT landscape is now in the desired targeted state.

We realized our anti-crisis plan: we reassessed our core priorities, introduced radical cost-cutting measures, sold and closed international businesses, as well as formed necessary provisions for credit quality deterioration and blocked assets.

Our business model yet again passed the endurance test. As a result, we finished the year with net earnings of RUB270.5 bn. Total shareholder equity reached RUB5.8 trn, while CET1 capital ratio increased to 14.8%. Our earnings generation capacity allows us to revert to the topic of dividends for 2022."

FY 2022

Key financial results for FY 2022

RUB270.5 bn

-78.3% y/y

Group net profit¹

RUB12.39

-78.3% y/y

EPS¹

41.6 %

+7.6% pp y/y

CIR

14.8 %

+0.9% pp y/y

CET1 capital ratio

- Group net profit¹ reached RUB270.5 bn (-78.3 pp y/y).
- Earnings per ordinary share¹ was RUB12.39 (-78.3 pp y/y).
- Sber increased total equity by 3.0% to RUB5.8 trn.
- CET1 capital ratio improved to 14.8% (+0.9 pp y/y).
- Results were achieved without applying the Central Bank's forbearance measures that were available to Russian financial institutions.

Key client activity metrics

RUB bn, unless stated otherwise	31.12.2022	31.12.2021	31.12.2022 / 31.12.2021, change, %
Number of active retail clients	106.7	103.8	2.9
MAU – SberBank Online app (app+web)	78.6	76.1	2.5
DAU – SberBank Online app (app+web)	40.9	38.8	2.1
Number of active corporate clients	3.0	2.9	0.1

- Number of active retail clients reached 106.7 mn people at the end of the year, while the number of corporate clients exceeded 3 mn companies.
- Number of active monthly users (MAU) of SberBank Online app exceeded 78.6 mn (+2.5 mn for FY 2022). Number of daily users (DAU) came at 40.9 mn, with DAU/MAU ratio over 50%.
- Number of SberSpasibo loyalty program users increased by 9.7 mn for FY 2022 to over 66.2 mn.
- Number of Sber ID users, a unified login that gives access to more than 150 services of Sber and partners, to 55 mn from 32.5 mn a year ago.
- Number of SberPrime subscribers exceeded 6 mn by the end of February 2023 (+1.8 mn since the beginning of 2022).
- The SberPrime+ subscription was nominated as the most diversified on the Russian market based on the variety of financial and non-financial services offered¹³.
- The SberPrime+ subscription was the main driver of growth with the number of users increasing by more than 3.5 times since the beginning of 2022 to 2.1 mn subscribers.

Group Income Statement Highlights

RUB bn, unless stated otherwise	12M 2022	12M 2021	12M 2022/ 12M 2021, change, %
Net interest income	1 874.2	1 759.4	6.6%
Net fee and commission income	697.1	604.2	15.4%
Net charge related to change in asset quality ³	-555.4	-141.5	X4
Staff and administrative expenses	-822.0	-834.4	-1.5%
Net profit	270.5	1 245.9	-78.3%
Earnings per ordinary share, RUB	12.39	56.98	-78.3%

Key financial coefficients

Return on equity ⁴	5.2%	24.2%	-19.0 pp
Return on assets ⁵	0.7%	3.3%	-2.0 pp
Net interest margin	5.31%	5.38%	-0.07 pp
Cost of risk (amortized cost and FV loans)	1.9%	0.6%	1.3 pp
Cost-to-income ratio	41.6%	34.0%	7.6 pp

Net interest income was up by 6.6% y/y in 2022 to RUB1 875 bn. The increase was attributable to expanding volume of the working assets.

- Net interest margin of the Banking business segment came under pressure in the first half of the year in light of massive outflow of client funding from the banking sector following the Central Bank's increase in the key rate. Starting from July 2022, net interest margin started to recover on the back of normalization in cost of funding and reduction in share of foreign currency denominated constituents of the balance sheet.

Net fee and commission income increased by 15.4% y/y to RUB697 bn. Income from bank cards operations as well as cash and settlement services were the main contributors.

- Net fee income from bank cards operations increased by more than 26% y/y on the back of strong acquiring volumes as well as changes in the payments market conditions.

- Total volume of transfers, payments and acquiring expanded by 22% y/y for 2022 thanks to high transactional activity.
- Sber continues to develop SberPay payment solutions. Innovative services included contactless payments with SberPay for Android-devices, payments with QR, biometric system "Pay with a glance" and online payments.
- Sber yet again was recognized as the best acquirer in Europe, and a top-3 acquirer in the world for the third consecutive year⁶.
- Conversion operations (+45% y/y) made a substantial contribution to the commission income growth in 2022 on the back of high volatility of exchange rates during the year.

In 2022, Sber carried out a large-scale **anti-crisis program** aimed at reducing operating expenses and capital expenditures:

- Thorough analysis of existing projects was conducted, followed by strict prioritization of the most critical initiatives;
- Sber reduced investments in external IT services and solutions;
- In 2022, the Group structure was changed after sale, closing as well as reorganization of a number of joint ventures.

The combined savings effect exceeded RUB240 bn. **Operating expenses** were down by 1.5% y/y to RUB822 bn. Cost-to-Income ratio came at 41.6%.

In 2022, total **net provision charge against credit quality deterioration**, including revaluation of loans at fair value, reached RUB555 bn.

- In the first half of the year, the Bank created all necessary provisions against potential and recognized risks, including those on blocked assets. Starting from the second half of the year the provisioning level returned to normalized levels.
- Cost of Risk for 2022 was 1.9%, up by 1.3 pp compared to a year ago.

Group Balance Sheet Highlights

All balance sheet lines, including those for comparable periods, include the disposal of Sberbank Europe and subsidiary in Kazakhstan

RUB bn, unless stated otherwise	31.12.2022	31.12.2021	31.12.2022 / 31.12.2021 change, %
Gross loans⁷:	31 038	27 789	11.7%
Corporate loan portfolio	18 608	16 711	11.4%
Retail loan portfolio	12 430	11 078	12.2%
Client funding:	29 876	27 392	9.1%
Retail deposits	18 499	17 466	5.9%
Corporate deposits	11 377	9 926	14.6%
Net loan-to-deposit ratio	98.3%	96.4%	1.9 pp

Retail loan portfolio reached RUB12.4 trn, growing by 12.2% for FY 2022. The yield on retail loans was up by 64 bp y/y to 11.9%. The share of retail loan originations in digital channels exceeded 60% at the end of the year.

- Sber issued over RUB2.5 trn in mortgages and RUB2.0 trn in consumer unsecured loans.

- For 2022, mortgage portfolio increased by 17.7% to RUB7.5 trn thanks to a wide range of own products and state subsidized programs. Mortgage market share remained high at 53.8% at the end of the year.

- Subsidized lending programs were highly demanded. Over RUB560 bn were issued under State support 2020 program, RUB350 bn under Families with children, and almost RUB90 bn under Rural mortgage and Far East mortgage programs.
- In November 2022 Sber earned the Best digital mortgage service award².
- From the second half of 2022 consumer unsecured lending started to demonstrate positive dynamics on the back of macroeconomic stabilization and declining interest rates. The share of consumer unsecured loan originations via SberBank Online reached almost 90% at the end of the year.
- Seasonal consumer unsecured loan promos remained popular among clients:
 - loans at an annual rate from 4% in the first month of a loan;
 - loans to SberPrime+ subscribers with a 1.5% of the loan rate cashback as SberSpasibo loyalty program bonuses.
- Sber's consumer unsecured loan market share reached 37.7% at the end of 2022, up by 0.6 pp for the year.
- One of major retail loan growth drivers in 2022 were credit cards, ending balances of which increased by 26.6% during the year, while the volume of applications was up by 1.6 times.
 - Sber credit card was recognized as the most valuable in Russia¹³ in 2022.
 - Sber's credit card market share reached 46.4% at the end of 2022, up by 2.6pp over the year.
- Sber's corporate lending market share exceeded 32% at the end of 2022.
- Sber issued over RUB15 trn in corporate loans, while maintaining stable asset quality.
- Residential real-estate construction loan portfolio was up by 1.7 times for 2022 to over RUB3 trn.
- At the end of 2022 78% of decisions on short-term lending to large and mid-size businesses were made via Online lending technology.
- SME loan portfolio⁹ exceeded RUB4.4 trn at year-end. SME lending market share was up by 5.2 pp to 46.4% for the year.

Retail funding was RUB 18.5 trn, up by 7.4% adjusted for the impact of FX revaluation⁸ (nominal growth for 2022 was 5.9%).

- The share of FX deposits was halved during the year; clients preferred to convert savings predominantly to Rubles, as well as currencies of friendly countries.

Corporate funding was up by 17.0% adjusted for the impact of FX revaluation⁹ (nominal growth for 2022 was 14.6%) to RUB11.4 trn.

- The share of corporate funding in dollars and euros continued to decline. At the end of 2022 their share was 12%, down from over 30% in the beginning of the year.

Net LDR ratio changed to 98.3% at year-end, adding 1.9 pp during the year.

Corporate loan portfolio was RUB18.6 trn, adding 13.2% for 2022, adjusted for the impact of FX revaluation⁸ (nominal growth for 2022 was 11.4%). The yield on corporate loans was up by 2.6 pp y/y to 9.8% on the back of rates volatility during the year.

Key asset quality metrics

Percent, unless stated otherwise	31.12.2022	31.12.2021	31.12.2022 / 31.12.2021 change, pp
Stage 3 + POCI loans / total gross loans at amortized cost	3.9%	4.9%	-1.0 pp
Provision coverage of Stage 3 + POCI loans	142.5%	108.0%	34.5 pp

The share of Stage 3 and POCI loans in loans at amortized cost was 3.9%, down by 100 bp for 2022.

Total provision coverage of impaired loans was up by 34.5 pp to 142.5% for 2022.

Selected Group Capital Adequacy Results

RUB bn, unless stated otherwise	31.12.2022	31.12.2021	31.12.2022 / 31.12.2021 change, %
Common equity Tier 1 capital	5 380.9	5 262.1	2.3%
Tier 1 capital	5 530.9	5 412.1	2.2%
Total capital	5 727.4	5 600.7	2.3%
Risk-weighted assets	36 417.5	37 723.5	-3.5%
Common equity Tier 1 capital adequacy ratio	14.8%	13.9%	0.9 pp
Tier 1 capital adequacy ratio	15.2%	14.3%	0.9 pp
Total capital adequacy ratio	15.7%	14.8%	0.9 pp
Capital adequacy ratio for the Group N20.0	14.4%	13.6%	0.8 pp
Book value per share¹⁰, RUB	257.4	249.6	3.1%

Common equity Tier 1 capital grew by 2.3% in 2022 to RUB5.4 trn. **Total capital** increased by 2.3% to RUB5 727 bn.

The Group risk-weighted assets were down by 3.5% for the year to RUB36.4 trn. **Risk-weighted assets density** came down to 83.8%.

Common equity Tier 1 capital adequacy ratio and **Tier 1 capital adequacy ratio** increased by

0.9 pp to 14.8% and to 15.2%, respectively, while **total capital adequacy ratio** increased by 0.9 pp to 15.7%.

Capital adequacy ratio for the Group N20.0 increased by 0.8% to 14.4% for 2022.

Technological Leadership

One of the main tasks of 2022 was to ensure uninterrupted operations of all systems in the face of unprecedented number of cyberattacks and terminated contracts with foreign vendors. Sber replaces vendor solutions with its own products at all levels of the technology stack and offers them to the market.

- In-house technological solutions that were developed based on Platform V instruments replaced foreign vendor services not only at the Bank, but also at the largest Russian companies.
- At the end of 2022, Sber achieved the Strategy 2023 goal to migrate to its own technological platform (Platform V). Now 80% of the critical IT landscape was transferred to the targeted state.
- In order to ensure uninterrupted work with data, Sber migrated ~90% of its services to its own technological stack and abandoned third-party solutions.
- The transition also allowed to reduce the cost of data storage by 1.9 times per 1 TB.
- The number of technological implementations and changes increased by 35% y/y to 1.6 mn, while the number of incidents came down by 6% y/y.
- The number of monthly users (MAUs) of Salut virtual assistants in SberBank Online and other Sber digital surfaces exceeded 15.7 mn.
- In 2022, Sber continued to expand lines of new products and tools:

- In 2022, Jazz video conferencing service became available to the market. Up to 200 people can participate in meetings, join from a desktop version, mobile application or a smart device.
- At the beginning of 2023, Sber introduced SberBoom smart media speaker with Salut voice assistant, noise detector, 360° surround sound, ability to combine several speakers into a stereo pair, and a compact version of SberBoom Mini.

Holistic artificial intelligence integration in all key business processes at Sber has reached a high level of maturity:

- The financial effect from AI use at Sber in 2022 exceeded RUB235 bn.
- The number of researchers, data analysts and ML engineers working at Sber was almost 1.5K.
- Sber International Conference “Artificial Intelligence Journey 2022” brought leading researchers and developers together for the seventh time, being viewed more than 55 mn times from 180 countries.

ESG

In spite of the challenges faced by the banking sector in 2022, Sber remained focused on its ESG strategy. As part of the strategic ESG transformation program, Sber implemented the following initiatives in 2022:

- educational projects, including the SberZ school accelerator and the SberSova financial literacy portal, which won an award ESG Innovation of the Year;
- projects on sustainable development of the regions: a targeted solution for the ESG transformation of the regions, taking into account individual profile and level of development;
- Sber increased engagement of employees in the SberSave Together ESG agenda: 230 events were organized and attended by 45K employees.
- Over 18K people became members of the Sber volunteer movement.
- 85% of Sber employees completed ESG education.
- Sber's sustainable development portfolio (green, adaptation and ESG loans) reached RUB1.3 trn at the end of 2022.
- Number of retail ESG clients reached 15.2 mn, doubling over 2022.

Conference call details

Time and date:

March 9, 2023
11:00 Moscow time

Russian line (main)

Event: IFRS 2022

To connect to the conference using link below:
<https://jazz.sber.ru/sf3h8q?psw=OEQHH0ICERVQVAAJHRYGBL9eHQ>

Conference code: sf3h8q@jazz.sber.ru
Password: 7ez0ftc9

English line (listen-only)

Event: IFRS 2022 listen-only

To connect to the conference using link below :
<https://jazz.sber.ru/vjcddo?psw=OBcLFkEPUQMKBwwAHhtGEAUNEQ>

Conference code: vjcddo@jazz.sber.ru
Password: dis3k4uc

¹ Includes discontinued operations

² Frank RG research

³ Includes net expenses from provisioning for debt financial assets and revaluation of loans at Fair Value due to changes in credit quality

⁴ Excluding the subordinated loan agreement in the amount of RUB150.0 bn classified as equity financial instrument that was previously ceded by the Bank of Russia in favor of the Ministry of Finance

⁵ Based on profit from continuing operations

⁶ Nilsen Report research for 2021

⁷ Before loan loss allowance and including loans at amortized cost and at fair value

⁸ Based on management accounts

⁹ According to the list of SME companies included in the register of the Federal Tax Service as of 12/31/22

¹⁰ Total equity attributable to shareholders of the Bank / Total numbers of shares outstanding (ordinary + preferred)

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